effectiveness of informal public institutions varies with firm ownership structures and property rights and the relationship between firms and external investors.

Thus, in China and some states of India, where informal institutions replace ineffective formal institutions, these are critical to enhanced corporate governance and higher domestic and foreign investment. However, this condition of positive substitutive informal institutions in China does not universally hold across economic sectors. As Daniel Mattingly shows, so long as informal organizations are linked to the state, "local elites can exploit their control over group social networks to encourage compliance with extractive policies."[43] In Russia, by comparison, competing informal institutions and mechanisms of corporate governance are associated with corruption and clientelism, which undermine the functioning of reasonably effective formal institutions relating to shareholder rights and relations with investors. Meanwhile, in Brazil, accommodating informal institutions get around the effectively enforced but restrictive formal institutions and help reconcile various objectives.[44]

Despite the different levels of effectiveness of these institutions, the BRICS members inherently prefer to live in the world of soft institutions and informal rules because these norms are more compatible with their domestic institutions and modalities. The relative underdevelopment of their domestic legal institutions makes these governments resort to informal rules and institutions for domestic governance. China is often criticized as not honoring the rule "of law," but instead being only ruled "by law." In China, as in many or most developing and middle-income countries, the personal relationship known as *guanxi*, or *blat* in Russia, prevails as a dominant way of doing business.[45] In Vladimir Putin's Russia, not only have *blat* networks been monetized, but the entire system benefits the power elite through informal networks that employ extortion, fraud, bribery, embezzlement, kickbacks, and blackmail, often for private gain.[46]

Furthermore, none of the BRICS is eager to participate in multilateral institutions that will impose additional rules or conditionality on them and resist those that are not obviously technocratic and universally applied. Given their history of independence struggles, imperial imposition, shaky national identity, and feelings of vulnerability, the BRICS states are often extremely sensitive to sovereignty issues and interference into each country's internal affairs, even when such invasion of sovereignty comes in the form of having